

AUSTRALIA
2009

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Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at www.oecd.org/els/social/workincentives.

1. Overview of the tax-benefit system

The Australian social security system is funded from general taxation revenue and not from employer or employee social security contributions. The system provides flat-rate, means-tested, income support payments for people of workforce age and the retired. Duration of payment receipt is not time limited with income support payments being paid subject to the continued meeting of eligibility criteria. Additional assistance is available for those paying rent in the private rental market and for families with dependent children, including assistance with child care costs.

The Australian income support system consists of various pensions and benefits, each with its own eligibility criteria and, where applicable 'looking for work' or other 'activity' requirements, relating to the reason claimants are unable or not expected to fully support themselves through paid work. For example, there are categories of payment for the aged, people with a disability and their carers, primary carers of dependent children, the unemployed and full-time students. Income support payments do not include spousal assistance and partners of unemployment payment recipients must claim an income support payment, generally an unemployment or parenting payment, in their own right. Income support payments are both income and asset tested with regimes differing depending on whether a payment is classified as a 'pension' or 'benefit'. Unemployment and parenting payments for members of a couple are 'benefits', while the parenting payment for single parents is classified as a 'pension'. Unemployment-related and parenting payments and the Age Pension are taxable.

Most payments for families with dependent children are subject to income testing either on parental income or the income of the 'second-earner'. Family and Rent Assistance payments are non-taxable.

The information contained in this document is that required to calculate the social security entitlements and taxes for workforce age individuals and couples where one or both members are receiving an unemployment payment and for single parents receiving Parenting Payment.

The reference period is from July 1st 2008 to June 30th 2009.

1.1. Average Worker wage (AW)

The 2009 AW level is AUD 63 546.

2. Unemployment insurance

There is no unemployment insurance.

3. Unemployment assistance

Australia's unemployment payments are Newstart Allowance (NSA) and Youth Allowance (YA(Other)) for non full-time students. YA is generally paid to unemployed people aged 16 to 20 years and NSA is paid to unemployed people aged 21 or over and under Age Pension age. The Age Pension age for men born before 1 July 1952 is 65. The Age Pension age for women born between 1 January 1946 and 30 June 1947 is 64.

All income support recipients need to establish an entitlement in their own right. For example, each member of a workforce age couple must either claim an unemployment payment or another income support payment, generally NSA or Parenting Payment (PP), in order to receive assistance. PP is an income support payment available to lone parents and one member of a couple with the care of a dependent child aged under six for partnered recipients, aged under eight for single recipients, or aged under 16 if the person was in receipt of Parenting Payment prior to 1 July 2006.

A child can only be a 'PP child' of one person.

Other income support payments to people of workforce age, though not specifically covered in this document include:

- Special Benefit, payable to people in severe financial need who have no other means of support and for whom no other income support payment is available. Special Benefit customers are activity tested if they would be required to meet the NSA or YA activity test had they otherwise qualified for that payment (for further information see Section 4);
- payments for full-time students, including Youth Allowance (Student), Austudy and payments under the ABSTUDY scheme; and
- payments for the disabled, their carers and wives of pensioners, including Disability Support Pension and Carer Payment. Sickness Allowance is a payment for people who are temporarily incapacitated and are unable to continue working. Widow Allowance is a payment for women born on or before 1 July 1955 if widowed, divorced or separated and without recent workforce experience. While no longer open to new claimants, Partner Allowance is a payment for people born on or before 1 July 1955 whose partner is receiving either a pension, allowance, Austudy or ABSTUDY. Wife Pension, a payment for partners of Age Pension and Disability Support Pension recipients, is generally closed to new entrants.

3.1 Conditions for receipt

All income support payments are flat-rate in that they do not reflect prior work history or social security contributions, however, maximum rates of payment are dependent on age, partnered status, presence of dependent children, whether people are renting in the private rental market and, for Youth Allowance recipients, whether they live with or are dependent on their parents. Maximum rates of payment are subject to personal and partner income testing with dependent Youth Allowance recipients also subject to parental means testing arrangements.

- Social security benefits are not payable if assets exceed specified levels and newly arrived migrants must generally serve a two-year waiting period prior to receiving payment, except where individuals

are given refugee or humanitarian status. Customers may also be subject to various other waiting periods. Some of these are outlined in Section 3.4.

To receive payment, an unemployed person (NSA or YA (Other) recipient) must be actively seeking suitable work or undertaking an activity to improve their employment prospects and must be available for, and willing to accept, suitable work, including part-time and casual employment. Early School Leavers, that is young people under 21 receiving YA (Other) without a Year 12 or a Certificate II qualification, must be participating in training or education or other suitable activities until they obtain Year 12 or equivalent qualification. This measure was implemented 1 July 2009 for new claimants of Youth Allowance (other) with existing claimants transitioned to the new requirements between 1 January and 30 June 2010. In certain circumstances, recipients may be exempted from meeting any or full activity test requirements (e.g. where they are temporarily incapacitated by injury or illness, personal crisis or caring duties).

PP recipients, both single and partnered, granted on or after 1 July 2006 are required to look for part-time work of at least 15 hours per week or undertake full-time study when their youngest child turns six. New Parenting Payment recipients after 1 July 2006 will generally be transferred (if eligible) to Newstart Allowance once their youngest child turns six (if partnered) or eight (if single).

Further information on PP (Single) for single parents is at Section 9.

Most benefits are income tested, however some social security benefits (such as unemployment and parenting payments) are not payable – or payable at a reduced rate – if assets exceed specified value limits. The asset value limits vary depending on whether the payment recipient is single or partnered and whether the person is a homeowner or non-homeowner. For partnered recipients, the asset test applies to the combined assets of the claimant/recipient and their partner. Lower limits apply to homeowners and reflect the fact that the value of the ‘principal home’ is exempt from the asset test. The asset value limits are indexed on 1 July each year to reflect changes in the broad cost of living as measured by the Consumer Price Index (CPI). For 2009-10 the value limits are as follows:

- Single: homeowner AUD 178 000, non-homeowner AUD 307 000.
- Partnered (combined): homeowner AUD 252 500, non-homeowner AUD 381 500.

3.2 *Calculation of benefit amount*

3.2.1 *Calculation of gross benefit*

Basic payment rates for NSA, PP (Partnered) and YA for 2009 are listed below. Supplementary payments, such as Rent Assistance (RA) (see Section 5) and Pharmaceutical Allowance, may also be payable depending on the person’s circumstances. Payment rates are set, income tests operate and payments are made on a fortnightly basis. Maximum rates for NSA and RA are indexed in March and September each year to reflect changes in the broad cost of living as measured by the Consumer Price Index (CPI). Maximum rates of YA are indexed to changes in the CPI in January each year.

Youth Allowance	(AUD fortnightly)	(AUD per month)**
Single, under 18, at home*	203.30	440.48

Reference date for all information is **June 30th 2009**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Single, under 18, away from home	371.40	804.70
Single, 18 and over, at home*	244.40	529.53
Single, 18 and over, away from home	371.40	804.70
Single, with dependent child(ren)	486.60	1054.30
Single, principal carer of a dependent child (granted an exemption for foster caring/home schooling/distance education/large family)	569.80	1234.57
Partnered, no dependent child(ren) (each)	371.40	804.70
Partnered, with children (each)	407.80	883.57

Newstart Allowance (NSA), Parenting Payment (partnered)	(AUD fortnightly)	(AUD per month)**
Single, 21 and over, no children	453.30	982.15
Single, 21 and over, with dependent child(ren)	490.40	1062.53
Single, 60 and over, after 9 months# on payment	490.40	1062.53
Partnered, over 21 (each)	409.00	886.17
Single, principal carer of a dependent child (granted an exemption for foster caring/home schooling/distance education/large family)	569.80	1234.57

* Rent Assistance is unavailable where a young person receives an 'at home' rate of payment.

**Payments are made fortnightly. Monthly rates are 26 times the fortnightly amount divided by 12.

Rate includes Pharmaceutical Allowance.

Source for fortnightly rates: A guide to Australian Government payments.

3.2.1.1 *Irregular additional payments* [NEW ITEM]

Pensioner Education Supplement

Pensioner Education Supplement (PES) is designed to help certain disadvantaged pensioner groups, such as single parents and people with disability with the costs of study. Assistance is provided over a defined period to help recipients to gain an initial qualification, up to a postgraduate level, that would make them competitive in the labour market. PES is paid fortnightly at a full-rate of \$62.40 or part-rate of \$31.20 per fortnight depending upon the amount of study undertaken and their individual capacity to undertake study.

Education Entry Payment

The Education Entry Payment (EdEP) is designed to provide an incentive for eligible recipients (NSA, PP, Carer Payment and Disability Support Pension) to improve their skills and qualifications through education by helping to offset the costs of incidental expenses such as books and fees. Education

Entry Payment is payable once per annum as a lump-sum of \$208. As part of the Nation Building Economic Stimulus Plan, claimant requirements for EdEP were temporarily relaxed between 1 January 2009 to 30 June 2010 so that eligible recipients could access EdEP after having received their primary payment for four weeks rather than 12 months. In addition, over the same period, eligibility for EdEP was temporarily extended to YA (other) recipients.

Education Entry Payment Supplement

As part of the Nation Building Economic Stimulus Plan, claimants of EdEP between the period 1 January 2009 and 30 June 2010 received a \$950 annual supplement.

Language Literacy and Numeracy Supplement

The Language, Literacy and Numeracy Program (LLNP) seeks to improve participants' language, literacy and/or numeracy, with the expectation that such improvements will enable them to participate more effectively in training or in the labour force. Recipients of approved LLNP are eligible for a supplement of \$20.80 pf.

Training Supplement

The Training Supplement is a temporary payment of \$41.60 pf for recipients of NSA and PP. The supplement was introduced a response to the global recession to encourage jobseekers vulnerable to long term unemployment, to undertake training to ensure they are properly skilled when the economy commences recovery. The Training Supplement is paid for approved study commenced between 1 July 2009 and 30 June 2011.

Approved Program of Work Supplement

Job seekers undertaking Work for the Dole and Green Jobs Corps activities are paid a supplement of \$20.80 per fortnight.

National Green Job Corps Supplement

National Green Jobs Corps is a two year time-limited measure that assists young jobseekers. The 26-week environmental training program offers young people, aged 17 to 24 years, a combination of work experience, skill development and accredited training to ensure they are ready for employment in emerging green and climate change industries. National Green Jobs Corps commenced on 1 January 2010. Participants in the program are eligible for a fortnightly supplement to their income support payment of \$41.60 for the duration of their participation in the program.

Mobility Allowance

The purpose of Mobility Allowance (MOB) is to assist with transport costs for people with disabilities who are unable to use public transport without substantial assistance. In conjunction with the Welfare to Work changes to encourage income support recipients to participate in the workforce to their capacity, a higher rate of MOB was introduced on 1 July 2006. The higher rate of \$111.00 pf is paid to recipient of NSA, YA, DSP or PP who are either working or looking for work of 15 hours or more per week. The basic rate of \$79.30 pf is paid for eligible recipients undertaking 32 hours in every four weeks of paid or voluntary work.

3.2.1.2 Obligations of family members [NEW ITEM]

In the Australian social security system, payments are based on individual entitlement. Therefore payments for couples are determined individually. The interactions of the income and asset tests mean that earnings by one member of the couple can reduce, or extinguish, the rate of payment of the other member of the couple where a threshold limit is met. While there are no direct implications to the individual's entitlement if the spouse failed to meet eligibility requirements, the spouse would not receive income support. As shown in 3.2.1, payments to individual members of a couple are determined at a reduced rate.

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

Benefit receipt and rates of payment are determined by the operation of income and assets tests. Income for the purposes of income support income tests is 'ordinary income'. This concept differs to that used for taxation and family assistance purposes. 'Ordinary income' includes employment, financial investment income and various other sources of income not considered taxable income. Ordinary income excludes child maintenance income and other social security payments. Income is generally assessed in the first fortnight it is earned, derived or received.

The personal income test for unemployment payment recipients (NSA and YA (Other)) and PP (Partnered) has an income disregard or "free area" of AUD 62 per fortnight. Each dollar of income above AUD 62 and up to AUD 250 reduces the rate of payment by 50 cents. Thereafter the withdrawal rate for payments is 60 cents in the dollar.

Where both members of a couple receive an allowance (NSA or PP (Partnered)) and one recipient's rate is reduced to zero by the personal income test (when personal income exceeds AUD 775.00 per fortnight for NSA recipients) the partner remaining on income support will have their payment reduced by 60 cents for each dollar of partner income in excess of that amount.

Youth Allowance for dependent young people is subject to the personal income test and parental means testing arrangements that include parental income and family asset tests.

A person's rate of payment may also be affected by the operation of 'Working Credit'. Working Credit allows customers to build up a 'credit' of up to AUD 48 of their unused income disregard (or free area) per fortnight (up to a maximum of AUD 1 000). A participant's Working Credit 'balance' can be used to increase the amount they can earn before their income support payment is reduced. For example, a social security beneficiary who is also a Working Credit scheme participant with a Working Credit 'balance' of AUD 200 can earn AUD 262 for a given fortnight (i.e. the amount of the participant's Working Credit 'balance' plus the fortnightly ordinary income free area for social security beneficiaries covered by the Working Credit scheme) before their payment starts to reduce for that fortnight.

If a person receives leave entitlements from their previous employment, including annual leave, long service leave, sick leave and maternity leave, they may have to serve an 'income maintenance period' during which these entitlements are treated as income. The income maintenance period is equal to the leave period to which the leave payment entitlement relates.

3.3 *Tax treatment of benefit and interaction with other benefits*

NSA and YA are taxable payments, however, a tax rebate (or tax offset) operates so that a person in receipt of an income support payment for the entire income tax year does not pay tax on that payment.

3.4 *Benefit duration and waiting periods*

While there are no restrictions on the duration of unemployment payments, and recipients can re-apply for benefits after periods of ineligibility, recipients may be required to serve a waiting period or periods prior to payments commencing to be paid if they do not meet various hardship or waiver criteria. Waiting periods may apply in the following circumstances:

- A one-week waiting period for NSA may apply after lodgement of an application form.
- A ‘liquid asset waiting period’ may apply if a person has liquid assets beyond a set level on the day they or their partner become unemployed or incapacitated, or on the day the person lodged their claim. The maximum waiting period is 13 weeks. Liquid assets include cash, shares and debentures, and bank (including term) deposits. In the context of the global recession the threshold of the qualifying limits for liquid assets were temporarily doubled (\$5,000 singles and \$10,000 all other family types) for the period 1 April 2009 to 31 March 2011.
- A ‘seasonal work preclusion period’ will generally apply if a person or their partner is engaged in high- income seasonal work in the six months prior to claim.
- A person who reduces their likelihood of getting a job without sufficient reason by relocating to an area with lower employment prospects will have to wait up to 26 weeks before receiving payment.
- A participation payment is not payable to a person for 8 weeks if that person became unemployed due to a voluntary act or because of misconduct. However, the preclusion period does not apply if the voluntary act was reasonable or if the work was unsuitable for the person.
- Newly Arrived Resident’s Waiting Period – New Australian residents granted permanent residence are subject to the NARWP of 104 weeks with the exception of Widow Allowance, PP and Carer Allowance.

3.5 *Treatment of particular groups*

3.5.1 *Young persons*

The YA rate structure differs to that applying to adult income support. Rates for single and partnered young people without children are lower than equivalent adult rates and the rates structure further differentiates between young people living ‘at home’ or ‘away from home’ and, if they live ‘at home’, whether they are under or over the age of 18. The payment has a higher income disregard (or free area) for full-time students.

YA has parental means testing arrangements for young people who have not met specified independence criteria. Parental income and asset testing does not apply where a parent receives an income support payment.

YA activity test arrangements promote the attainment of Year 12 or equivalent qualification as a primary aim (if the young person does not already have this level of education) and allow young people to combine elements of study and work to a greater degree than NSA.

3.5.2 *Older workers*

Partner Allowance is payable to partners of income support recipients who have no recent workforce experience and who were born on or before 1 July 1955. From 20 September 2003, Partner Allowance is generally closed to new entrants.

Widow Allowance is payable to women with no recent workforce experience who were widowed, divorced or separated since turning 40 years of age and born on or before 1 July 1955.

Single allowees aged 60 or over are eligible for a higher rate of payment after receiving income support for 9 continuous months.

3.5.3 *Others if applicable*

Single parents with a dependent child aged under 8 years of age generally do not claim unemployment benefits (such as NSA or YA)) as they may qualify for Parenting Payment (Single). PP (Single) has a higher maximum rate of payment and income test free area, a lower withdrawal rate and limited participation requirements (see Section 9). It is possible for single people receiving unemployment benefits to have substantial responsibility for a dependent child, for example, parents with shared care of children (as a dependent child can only be the 'PP child' of one person at a time) or care of a dependent child aged 8 years or older. In these instances, a higher rate of unemployment benefit may be paid (see Section 3.2).

4. Social assistance

In the Australian social security system Special Benefit serves as a benefit of last resort. It is paid to people in severe financial hardship, who have no other means of support and for whom no other benefit is available. For long-term cases, Special Benefit is not payable when the available funds and liquid assets of the person are more than AUD 5 000. In cases of shorter-term need, the benefit is not payable if readily available funds exceed two weeks' Special Benefit plus family assistance payments. Payment rates are at the discretion of the Secretary of the Department of Families, Housing, Community Services and Indigenous Affairs (FaHCSIA), but cannot exceed the maximum NSA or YA payment rates otherwise applicable to the person. The benefit is income tested against all income with no income test free area and a withdrawal rate of 100 cents in the dollar. Any amount of regular in-kind support, such as the provision of board and lodging, also reduces the rate of payment.

4.1 Conditions for receipt

Special Benefit is not payable if assets exceed specified levels (see NSA and YA asset test limits page xx) and newly arrived migrants must generally serve a two-year waiting period prior to receiving payment, except where individuals are given refugee or humanitarian status or can demonstrate that a substantial change in circumstances beyond their control has occurred and that they are in severe hardship because of this change.

People receiving Special Benefit who are considered capable of working are expected to look for work and accept offers of suitable employment. People holding certain temporary protection visas who were granted Special Benefit after 1 January 2003, or who became of working age after this date, are subject to an activity test similar to that applying to job seekers receiving NSA and YA.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

The rate of Special Benefit is discretionary, however, the maximum rate cannot exceed the rate of NSA or YA that the person would otherwise receive if they were eligible. A direct deduction income test applies to Special Benefit. This means that all personal income, whether earned or unearned, reduces the Special Benefit rate by that amount. There is no allowable income free area and no taper.

If a person receives in kind support on a regular basis, the value of the support is deducted from the rate after the income test is applied. In kind support includes payment of bills, provision of food and clothing and free board and/or lodging.

4.2.1.1 *Irregular additional payments* **[NEW ITEM]**

N/A

4.2.1.2 *Obligations of family members* **[NEW ITEM]**

N/A

4.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

N/A

4.3 *Tax treatment of benefit and interaction with other benefits*

Special Benefit is a taxable payment.

4.4 *Benefit duration and waiting periods*

Special Benefit is generally granted for periods of 13 weeks. An entitlement review is conducted every 13 weeks to determine whether payment should continue. Special Benefit can be cancelled at any time.

People holding certain temporary protection visas who were granted Special Benefit after 1 January 2003, or who became of working age after this date, are subject to an activity test similar to that applying to job seekers receiving NSA and YA. These people are subject to:

- a ‘seasonal work preclusion period’ if they or their partner were engaged in high- income seasonal work in the six months prior to claim;
- a 26 week wait before receiving payment if they reduce their likelihood of getting a job without sufficient reason by relocating to an area with lower employment prospects.

4.5 *Treatment of particular group*

4.5.1 *Young persons*

N/A

4.5.2 *Older workers*

N/A

4.5.3 *Others if applicable*

N/A

Reference date for all information is **June 30th 2009**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

5. Housing benefits for rented accommodation

Housing assistance exists in two main forms: Rent Assistance and public housing provided by State and Territory Governments with financial assistance from the Australian Government.

5.1 Conditions for receipt

Rent Assistance (RA) is a non-taxable income supplement paid to eligible individuals and families who rent in the private rental market. RA is paid to eligible recipients of social security pensions and benefits and those receiving more than the minimum rate of Family Tax Benefit Part A (FTB Part A).

State and Territory Governments provide public and community housing to households subject to various eligibility criteria and housing stock availability. The Australian Government provides financial support for this through a joint Commonwealth-State Housing Agreement.

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

RA is paid at the rate of 75 cents for every dollar of private rent paid above the specified minimum rent threshold until the maximum rate of RA is reached. The maximum rates and thresholds vary according to a person's family situation, the number of children they have and, for singles without children, whether accommodation is shared with other adults. Rent thresholds and maximum rates are indexed in March and September each year to reflect changes in the broad cost of living as measured by the Consumer Price Index (CPI).

Rent Assistance (RA)

From 20 March to 19 September 2009 rates (in AUD)

Family situation	Maximum payment per fortnight	No payment if fortnightly rent is less than	Maximum payment if fortnightly rent is more than
Single, no children	111.20	98.80	247.07
Single, no children, sharer	74.13	98.80	197.64
Couple, no children*	104.80	161.00	300.73
Single, 1 or 2 children	130.48	130.06	304.03
Couple, 1 or 2 children	130.48	192.50	366.47
Single, 3 or more children	147.56	130.06	326.81
Couple, 3 or more children	147.56	192.50	389.25

Source: A guide to Australian Government payments.

*Other rates of payment are available for couples separated due to illness or temporarily separated.

5.2.2 *Income and earnings disregards*

For families with at least one 'FTB child' aged under 16 years, RA forms part of the maximum rate of FTB Part A for income testing purposes (see Section 6.2). Otherwise, RA is paid as part of the maximum rate of adult income support and is subject to the relevant payment's income test regime (see Section 3.2).

Public housing rents and rebate structures are set and operated by State and Territory Governments at levels that ensure that tenants pay no more than between 20-25 per cent of their net income in housing costs. Net income for public rent purposes generally includes adult income support payments and some or all of Family Tax Benefit.

5.2.3 *Costs eligible for housing benefits*

5.3 *Tax treatment of benefit and interaction with other benefits*

Rent Assistance is not taxable.

6. Family benefits

Family Tax Benefit Part A (FTB Part A) is provided to families with children, subject to a family income test, and includes additional supplements for large families and multiple births. FTB Part B (FTB Part B) is paid to families with one main income, including single parents. Families have three choices in the way that they receive FTB:

- through the Family Assistance Office as either a fortnightly or lump sum payment directly into their bank account; or
- as a lump sum when they lodge a tax return; or
- as reduced income tax instalment deductions in anticipation of a lump sum entitlement for a particular financial year.

Other, non-means tested, family payments include Double Orphan Pension (DOP), Maternity Immunisation Allowance (MIA), and the Baby Bonus. DOP is a fortnightly payment of AUD 52.70 available for carers of children who are orphaned or who have one parent deceased and the other absent for an indefinite period. The full amount of MIA is \$245.50. The first amount of \$122.75 is payable when the child is immunised between 18 and 24 months of age, The second amount may be slightly higher than \$122.75 due to indexation and is payable when the child is immunised between 4 and 5 years of age. The Baby Bonus is a payment of AUD 5 185 for each baby born (or adopted) and is paid in 13 fortnightly instalments.

6.1 Conditions for receipt

FTB payments are for the parents or guardians of dependent children and are paid subject to income testing and residence requirements.

- To receive FTB Part A, a family must have a dependent child aged under 21, or a qualifying dependent full-time student aged 21 to 24 years. A person is not a qualifying child for FTB purposes if they receive an income support payment in their own right, for example Youth Allowance (see Section 3), or have personal income exceeding a specified limit if aged 16 years or more.
- To receive FTB Part B, a family must have an 'FTB child' aged under 16 years, or a dependent full-time student up to the age of 18.

In cases where the care of a child is shared between two (or more) adults who are not members of the same couple, the 'per child' rate of FTB Part A for the child can be 'shared' between the adults based on the percentage of care provided to the child by each adult (so long as an adult's percentage of care provided to the child is equal to or in excess of 35 per cent).

6.2 Calculation of benefit amount

The amount families receive varies according to the number, ages and personal circumstances of the children, and the personal circumstances and income of parents.

6.2.1 Calculation of gross benefit

The maximum rate of FTB Part A comprises a rate paid for each dependent child, the Large Family Supplement for families with four or more children and Multiple Birth Allowance for families with children with triplets or quadruplets aged under six years. For private renters, maximum rates of FTB Part A also include Rent Assistance, calculated as outlined in Section 5. FTB Part A is also available at a lower per child 'base rate' of payment that is subject to an income test with a higher income disregard. The base rate of payment for a family is calculated as the sum of the base rates for all FTB children and also includes Large Family Supplement and Multiple Birth Allowance.

FTB Part B is a family-based payment where the maximum rate of payment is based on the age of the youngest child. The 2006-07 maximum rates of FTB are outlined in the following tables. The fortnightly rates of FTB Part A and FTB Part B exclude the 'per child' FTB Part A supplement and the 'per income unit' FTB Part B supplement, as the supplements can only be paid after the end of the income year when family income can be fully assessed.

FTB rates of payment are indexed on 1 July each year to reflect changes in the broad cost of living as measured by the Consumer Price Index (CPI).

2008-09 rates (AUD) (June 30th 2009)**Family Tax Benefit Part A (FTB Part A)**

	Fortnightly rate	Yearly rate*
Child under 13	151.34	4631.85
Child 13-15	196.84	5818.10
Child 16-17	48.30	1945.45
Child 18-24	64.96	2379.80
Large Family Supplement (for fourth and subsequent children)	10.36	270.10
Multiple Birth Allowance for children under six years	125.58 (triplets) 167.44 (quads or more)	3274.05 (triplets) 4365.40 (quads or more)
Base rate, child under 18	48.30	1945.45
Base rate, child 18-24	64.96	2379.80

*FTB Part A per year figures include the FTB Part A Supplement (AUD 686.20 per child for the 2008-09 income year) but the fortnightly figures do not.

Family Tax Benefit Part B

Age of youngest child	Fortnightly rate	Yearly rate*
Under 5 years	128.80	3693.80
5 - 15 years, (or 16 - 18 years if a full-time student)	89.74	2675.45

*The FTB Part B yearly figures include the FTB Part B Supplement of AUD 335.80 per year but the fortnightly figures do not.

Source: A guide to Australian Government payments.

6.2.1.1 Irregular additional payments [NEW ITEM]**6.2.2 Income and earnings disregards**

FTB Part A and its components (Rent Assistance, Multiple Birth Allowance and Large Family Supplement) are income tested. Income for the purposes of FTB income tests is 'adjusted taxable income' (ATI) and includes taxable income (including taxable income support payments), foreign income, certain employer provided fringe benefits, certain tax-free pensions or benefits and net rental property loss. Child support or maintenance income is not included and is subject to a separate income test. FTBA is subject to a family income test and the maintenance income test (MIT). 'Family income' is the ATI of the parent claiming payment and their partner.

- The family income test does not apply to those who receive, or whose partners receive, an income support payment such as a social security pension or benefit, or a Department of Veterans' Affairs service pension.
- The family income test does not apply to families with income below AUD 42 559.
- Each dollar of family income above AUD 42 559 reduces the maximum rate of FTB Part A by 20 cents in the dollar. The payment rate is calculated using this income test until the rate is reduced to the base (or minimum) rate of FTB Part A for the family.
- The base rate of FTB Part A is available until family income reaches AUD 94 316 per year (plus AUD 3 796 for each FTB child after the first). FTB Part A is then reduced by 30 cents for every dollar over that amount until the payment reaches nil.
- Maintenance income above specified income disregards (or free areas) reduces the more-than-minimum rate of FTB Part A (including Rent Assistance) by 50 cents in the dollar until the base rate of FTB Part A for the family is reached.

Income limit beyond which only base rate of Family Tax Benefit Part A is paid (In AUD per year)

Number of children 0-12 years	Number of Children 13-15 years			
	None	One	Two	Three
None		61 923	81 286	100 649
One	55 991	75 355	94 718	114 081
Two	69 423	88 787	108 150	127 513
Three	82 855	102 219	121 582	140 945

Note: The income limit is higher if the claimant is eligible for Rent Assistance.

Income limit at which Family Tax Benefit Part A stops* (In AUD per year)

Number of children 0-17 years	Number of Children 18-24 years			
	None	One	Two	Three
None		102 249	113 978	126 607
One	100 801	112 530	125 159	137 788
Two	111 082	123 711	136 340	148 969
Three	122 263	134 892	147 521	160 150

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*Income limits include the effect of the 'per child' AUD 686.20 per year FTB Part A supplement. Families with income approaching these amounts may only be paid FTB Part A at the end of the income year and not as fortnightly payments. The income limit is higher if the claimant is eligible for Multiple Birth Allowance.

^Income limit is higher than stated for two or three children aged 13-15.

Source: A guide to Australian Government payments.

FTB Part B in couple families has two income tests. Eligibility is restricted to families where the primary income earner earns less than AUD150 000. An income test on the 'second' or lower income earner determines the FTB Part B amount. Single parents automatically receive the maximum amount if they earn less than AUD150 000. For second earners every dollar of income (including income support payments) above AUD 4 526 a year reduces payment by 20 cents in the dollar. A second earner can still get some FTB Part B if their income is below*:

- AUD 22 995 a year if their youngest FTB child is under 5 years of age; or
- AUD 17 904 a year if their youngest FTB child is between 5 and 18 years of age inclusive.

*Income limits include the FTB Part B Supplement of AUD 313.90 per year that can only be paid after the end of the income year.

FTB income test thresholds are indexed on 1 July each year to reflect changes in the broad cost of living as measured by the Consumer Price Index (CPI).

6.3 *Tax treatment of benefit and interaction with other benefits*

Family payments are not taxable.

7. Childcare for pre-school children

Proportion of Australian population using 'approved' child care in the September quarter 2008, by type of child care and age of child

Ages	Outside school hours care (a)	Family Day Care(b)	Centre Based Long day care	Occasional Care	Total (c)
0	0.00	1.50	5.02	0.13	6.63
1	0.00	5.76	23.47	0.64	29.68
2	0.00	7.34	37.36	0.95	45.31
3	0.02	7.22	46.62	1.08	54.34
4	0.69	5.92	43.10	0.79	49.56
5	8.22	3.81	18.70	0.29	29.22
6	14.02	2.46	3.39	0.02	18.74
7	15.50	2.08	2.51	0.01	19.04
8	14.93	1.77	1.90	0.00	17.69
9	13.56	1.40	1.31	0.00	15.56
10	11.16	1.10	0.86	0.00	12.60
11	8.28	0.79	0.55	0.00	9.27
0-11	7.33	3.36	14.96	0.31	25.25

(a) Includes after and before school hours care and vacation care.

(b) Includes in-home care.

(c) Represents a count of distinct children. Children using more than one type of service, during a quarter, are only counted once within the total count.

Note: Children aged over 11 years have been excluded from this analysis.

Source: Centrelink Administrative data September 2006 Quarter (4 July 2006 to 1 October 2006), ABS 2006 Census, catalogue number 2068.0)

School Starting Age

Compulsory and minimum school starting ages are determined in each Australian State and Territory. Variations between the States and Territories regarding school starting ages and the nomenclature used in respect of the first year of compulsory schooling are detailed below.

STAT E	NOMENCLATUR E	MINIMUM STARTING AGE	COMPULSORY STARTING AGE
NSW	Kindergarten	5 by 31 July in year of entry	6
VIC	Preparatory	5 by 30 April in year of entry	6
QLD	Preparatory	5 by 30 June in year of entry	6
WA	Kindergarten	4 by 30 June in year of entry	From the beginning of the year that the child turns 6 yrs and 6 months
SA	Reception	At the beginning of the term after they turn 5 (continuous intake)	6
TAS	Kindergarten	4 by 1 January in year of entry	5 by 1 January in year of entry
NT	Preparatory	5 by 30 June in year of entry	6

ACT	Kindergarten	5 by 30 April in year of entry	6
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7.1 *Out-of-pocket childcare fees paid by parents*

The Australian Government does not set or regulate the fees that parents are charged by individual child care services. The average fee charged for full-time centre-based long-day care (50 hours) in 2006 was AUD 233 per week, with an average of AUD 215 for family-based care (2006 Australian Government Census of Child Care Services). Child care fees are not tax deductible and are not taken into account when assessing entitlements for other benefits. A means-tested fee subsidy, Child Care Benefit (CCB), is payable to parents using approved child care. The out-of-pocket cost payable by parents is dependent on their CCB entitlement. The rate of CCB depends on a number of factors. See Section 7.2.2.1 below.

In addition to CCB, the Australian Government provides the Child Care Rebate (CCR). The CCR covers 50 per cent of the family's out-of-pocket expenses for approved child care (the amount of the fee less the CCB entitlement) where the parents meet the work, training, study test, up to a maximum amount which is indexed annually to reflect changes in the broad cost of living as measured by the Consumer Price index (CPI). The maximum CCR payable for expenses incurred in 2009-10 is AUD 7 778 per child per year.

7.2 *Child-care benefits*

The Australian Government provides fee assistance with the cost of child care by way of Child Care Benefit (CCB). Families using child care provided by approved child care services or registered carers may receive CCB. Approved child care services include most long day care, family day care, outside school hours day care, vacation care, some occasional care services and some in-home care. For CCB, registered care is care for work-related purposes that is provided by relatives, friends or nannies registered with the Family Assistance Office.

Families using approved child care services can either elect for their child care service to receive CCB on their behalf, which reduces the amount of fees the family pays, or claim CCB as a lump sum at the end of the financial year. Families using registered care can access CCB at the minimum rate from the Family Assistance Office upon presentation of child care fee receipts and a claim form.

7.2.1 *Conditions for receipt*

Families where both parents are (or a single parent is) working, studying, training or looking for work may be eligible for CCB for both approved care and registered care for up to 50 hours of care per child per week. Other families are eligible for CCB for up to 24 hours of continuous approved care, but are not eligible for CCB for 24 hours of continuous registered care.

7.2.2 *Calculation of benefit amount*

7.2.2.1 Calculation of gross benefit

Families with children in approved child care services are eligible for CCB at a rate determined by their family income, the number of children in care and the type of child care they use. Families with children in registered care are eligible for CCB at the minimum CCB rate only. CCB is paid at a standard hourly rate, not determined by fee charging practices. Non-school children are eligible for 100 per cent of the current CCB rate. School children are eligible for 85 per cent of the current (non-school) CCB rate.

Part-time loadings apply to CCB payments for family day care and long day care. For one child in part-time family day care a loading of 33.33 per cent applies up to 37.5 hours of care, and tapers progressively from 33.33 per cent to 0 per cent from 37.5 to 50 hours of care. For one child in long day care a 10 per cent loading applies up to 33 hours of care, and tapers progressively from 8 per cent to 0 per cent from 34 to 38 hours of care.

For the 2008-09 income year, the maximum rate of CCB for one non-school child in an approved centre based long day care service is AUD 3.60 per hour. The rates for school children are set at 85% of the non-school child rates. This equates to a maximum of AUD 180.00 per week for a non-school child using 50 hours of care.

The minimum rate of CCB for children in registered care is AUD 0.602 per hour (up to \$30.10 per week) for non-school children. The rates for school children are set at 85 per cent of the non-school child rates.

CCB rates of payment are subject to annual indexation on 1 July each year to reflect changes in the broad cost of living as measured by the Consumer Price Index (CPI).

7.2.2.2 Income and earnings disregards

CCB for approved child care is income tested on family income using the same measure of income that is used for FTB Part A, namely, family 'adjusted taxable income' (ATI). The CCB rate for approved child care is gradually reduced as family income increases, to the point where families receive the minimum rate of CCB. The taper rate applied varies according to the number of children in child care.

Families with yearly income below AUD 36 573 per year receive the maximum rate of CCB. Family income above this reduces CCB at a rate determined by the number of children in approved child care until the minimum CCB rate of AUD 29.05 per week (for 50 hours of care) for each child is reached. The minimum rate of CCB is not subject to family income testing. CCB is not payable over the following income limits:

- AUD 126 793 for a family with one child in approved child care.
- AUD 131 457 for a family with two children in approved child care.
- AUD 148 452 for a family with three children in approved child care, plus an additional AUD 28 028 for each further child in approved child care.

CCB for registered care is only available at the minimum rate and as such is not means-tested.

The following table shows the taxable income taper percentage according to the number of children in care, for a given level of income.

Number of children in approved care	Recipient's annual income	Taxable income taper percentage
1	Any amount	10%
2 or more	Less than the upper income threshold	15%

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2	More than the upper income threshold	25%
3	More than the upper income threshold	35%

Income thresholds

The following table shows the income thresholds (1.1.I.70) for CCB:

Income year	One child - income threshold	More than one child - lower income threshold	More than one child - upper income threshold
2009-10	\$37,960	\$37,960	\$88,366
2008-09	\$36,573	\$36,573	\$85,213
2007-08	\$35,478	\$35,478	\$82,731
2006-07	\$34,310	\$34,310	\$80,088
2005-06	\$33,361	\$33,361	\$77,907
2004-05	\$32,485	\$32,485	\$75,933
2003-04	\$31,755	\$31,755	\$74,153
2002-03	\$30,806	\$30,806	\$71,993
2001-02	\$29,857	\$29,857	\$69,828

CCB income thresholds are subject to annual indexation in July each year to reflect increases in the CPI.

7.2.3 *Tax treatment of benefit and interaction with other benefits*

CCB is not taxable. CCB is taken into account when assessing entitlement for CCR. See Section 7.3 below.

7.2.4 *Treatment of particular groups*

7.3 *Child Care Rebate*

On 1 July 2009, the Child Care Tax Rebate was renamed the Child Care Rebate in recognition that the rebate is no longer a tax offset under the taxation legislation but is paid to families under the Family Assistance Law by the Family Assistance Office.

If a claimant passes CCB eligibility conditions, they may be entitled to receive the Child Care Rebate (CCR) even if they are only eligible for a CCB rate of zero. Under the CCTR, parents using approved care for work related purposes can claim 50 per cent of their 'out-of-pocket' (or net of CCB) costs for child care up to an annual limit which is indexed annually in line with changes in the broad cost of living as measured by the Consumer Price Index (CPI). Payment is made directly by the Family Assistance Office at the end of each quarter in which the child care costs were incurred.

7.3.1 *Conditions for receipt*

Parents receiving CCB for approved care for work related purposes can claim the CCTR.

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7.3.2 *Calculation of benefit amount*

From 1 January 2009 the CCTR covers up to \$7 500. The per child amount is indexed to changes in the Consumer Price Index (CPI).

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8. Employment-conditional benefits

8.1 *Conditions for receipt*

As of July 1 2008, the Employment Entry Payment is no longer payable.

8.2 *Calculation of benefit amount*

8.2.1 *Calculation of gross benefit*

8.3 *Tax treatment of benefit and interaction with other benefits*

8.4 *Benefit duration*

8.5 *Treatment of particular group*

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable*

9. Lone-parent benefits

9.1 Conditions for receipt

- As outlined in Section 3, Parenting Payment (PP) is an income support payment available to single parents or one member of a couple with the care of a dependent child (a) under 8 years of age in the case of a single parent and (b) under 6 years of age in the case of a couple. Exceptions apply for recipients of Parenting Payment prior to 1 July 2006, this 'grandfathered' group can continue to receive payment as long as they remain qualified until their youngest child is under 16 years of age. A child can only be the 'PP child' of one person. There are two different categories – PP (Single) for single parents and PP (Partnered) for a parent who is a member of a couple. To be eligible for PP (Single), a claimant must have been resident in Australia for at least two years or have become a single parent whilst resident in Australia. PP (Single) is a non-activity tested payment for new (i.e. post 30 June 2006) recipients whose youngest 'PP child' is under 6 years of age, and an activity tested payment for those recipients whose youngest 'PP child' is 6 years of age or older, but under 8 years of age (as outlined in Section 3.1). PP is subject to an asset test as outlined in Section 3.1.
- Activity testing involves the creation of an Employment Pathway Plan, which may include the following:
 - Looking for or engaging in employment of at least 30 hours a fortnight.
 - Participating in training or employment services such as Job Services Australia.
 - Meeting Work Experience Activity requirements such as Work for the Dole.

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

The maximum rate of PP (Single) is AUD 569.80 (from 20/03/09 to 20/09/09) per fortnight, plus Pharmaceutical Allowance of AUD 6.00 per fortnight. The rate is indexed to changes in the broad cost of living as measured by the Consumer Price Index (CPI) in March and September each year and is also benchmarked to 25 per cent of male total average weekly earnings; since July 2000 it has included an additional supplement that is indexed to changes in the CPI, which is currently AUD 19.50. Recipients are also entitled to the maximum rate of Family Tax Benefit Part A (unless the rate is reduced by the maintenance income test) and Family Tax Benefit Part B.

9.2.1.1 Irregular additional payments [NEW ITEM]

As outlined in section 3.2.1.1

Pensioner Education Supplement

Training Supplement

Mobility Allowance

Education Entry Payment

Approved Program of Work Supplement

Language Literacy and Numeracy Supplement

Education Entry Payment Supplement

- A Telephone Allowance is available on a quarterly basis to eligible individuals, including individuals who receive the Parenting Payment (Single). The basic rate of the Telephone Allowance is AUD 22.77 per quarter for 2008-09, with a higher rate of AUD 34.23 available where a home internet service is connected in the individual's or partner's name. The attached calculations assume the higher rate is applicable.

9.2.2 *Income and earnings disregards*

PP (Single) has an income free area of AUD 166.60 (AUD 142.00 plus AUD 24.60 for the first dependent child) per fortnight plus AUD 24.60 for each dependent child after the first. Income above the free area reduces payment at the rate of AUD 40 cents for each AUD. A single parent with one child is entitled to a part payment if their income is below AUD 1606.10 a fortnight.

The rate of PP (Single) may also be affected by the Working Credit scheme that operate as outlined in Section 3.2.

The income free area, excluding the additional amount for each dependent child, is indexed in July each year to reflect changes in the broad cost of living as measured by the Consumer Price Index (CPI).

9.3 *Tax treatment of benefit and interaction with other benefits*

PP is assessable income for tax purposes. The pensioner tax offset ensures that a year-long recipient with other assessable income below the income free area of AUD 166.60 per fortnight pays no tax.

9.4 *Benefit duration*

There are no restrictions on the duration of payment.

10. Tax system

As the Australian income tax year commences on 1 July, the following relates to the 2009-10 income tax year.

10.1 Income tax

10.1.1 Tax allowances and credits

Basic reliefs: Taxable income earned up to AUD 6 000 per year by resident taxpayers is subject to tax at a zero rate.

Standard marital status relief: A taxpayer may claim a tax credit where he or she contributes to the maintenance of a dependent spouse (legal or de facto). The credit is AUD 2 159 for a dependent spouse without dependent children. The tax offset cannot be claimed if the individual's adjusted taxable income (ATI) for 2009–10 was more than \$150,000 and if the spouse's ATI for 2009–10 was \$9,254 or more.

The rebate for a dependent spouse with a dependent child has been replaced by the Family Tax Benefit system (see Section 4.2 for details).

Relief for low income earners: A tax credit of AUD 1 350 is available for taxpayers whose taxable income was less than AUD 30 000 per year. This credit is reduced by AUD 4 cents for every AUD 1 by which the taxpayer's taxable income exceeds AUD 30 000 per year, and no tax credit is available once the taxpayer's taxable income equals AUD 63 750 per year.

The beneficiary tax offset is generally available to recipients of taxable income support payments that are classified as 'social security benefits'. The benefits included are Newstart Allowance, Parenting Payment (Partnered), Youth Allowance, Widow Allowance, Mature Age Allowance, Partner Allowance, Sickness Allowance, Special Benefit and Austudy Payment. The tax offset is calculated using the following formula:

- If the person's benefit amount is not more than AUD 35 000 per year:

Beneficiary tax offset = (lowest marginal tax rate, which is 0.15) x (amount of benefit or allowance received per year – tax free threshold, which is AUD 6 000 per year)

- If the person's benefit amount is more than AUD 35 000 per year:

Beneficiary tax offset = (the same formula as above) + 0.15 x (amount of benefit or allowance received per year – AUD 34 000 per year).

If the amount of benefit or allowance received in the income tax year is less than the tax free threshold then no beneficiary tax offset is available.

The pensioner tax offset is available to people who receive taxable Australian Government pensions who are not eligible to receive the Senior Australian tax offset (see below) because they have not met the eligibility conditions for the Senior Australian tax offset (for example, they have not reached Age Pension age within the meaning of the *Social Security Act 1991*). Parenting Payment (Single) recipients are typically eligible to claim the pensioner tax offset.

Pensioner tax offset (generally for pensioners under Age Pension age)

AUD per year 2009

	Maximum tax offset amount	Shade-out threshold ^a	Cut-out threshold ^b
Single	2 240	20 934	42 931
Couple ^c			
General	1 781	17 874	32 122

- The shade-out threshold is the maximum taxable income at which pensioners eligible for the pensioner tax offset will receive the maximum tax offset amount. The tax offset reduces by 12.5 cents for each dollar of taxable income in excess of the shade-out threshold. The pensioner tax offset shade-out threshold does not allow for the low-income tax offset.
- The cut-out threshold is the level of taxable income where the pensioner tax offset is reduced to nil.
- Any unused portion of the pensioner tax offset of a partnered pensioner can be transferred to his or her partner if they are eligible for the pensioner tax offset or Senior Australian tax offset. A higher level of offset is available to pensioner couples separated due to illness.

The Senior Australian tax offset is available to taxpayers who, at 30 June in a financial year, are of Australian Age Pension age, were notionally or actually eligible for an Australian Age Pension or similar payment, have taxable income for the relevant financial year less than the applicable cut-out threshold (see below) and were not in gaol for the whole of the financial year.

Senior Australian tax offset (generally for taxpayers who've reached Age Pension age)

AUD per year

	Maximum tax offset amount	Shade-out threshold ^a	Cut-out threshold ^b
Single	2 230	29 867	47 707
Couple ^c			
General (each)	1 602	25 680	38 496

- The shade-out threshold is the maximum taxable income at which Senior Australians eligible for the Senior Australian tax offset will receive the maximum tax offset amount. The tax offset reduces by 12.5 cents for each dollar of taxable income in excess of the shade-out threshold.
- The cut-out threshold is the level of taxable income of a single person or a couple where the Senior Australian tax offset is reduced to nil.
- Any unused portion of the Senior Australian tax offset of a partnered recipient can be transferred to his or her partner if they are eligible for the pensioner tax offset or Senior Australian tax offset. A higher level of offset is available to senior or senior/pensioner couples separated due to illness.

The mature age worker tax offset is available to eligible taxpayers aged 55 years and over, who have income from working in 2004-05 and subsequent years. For the 2009-10 year, where assessable income from working is below AUD 10 000, the tax credit tapers in at a rate of AUD 5 cents for every AUD 1 earned. The maximum tax credit of AUD 500 per year is available where income from working is between AUD 10 000 and AUD 53 000 per year. Where assessable income from working is in excess of AUD 53 000 per year, the tax credit is reduced by AUD 5 cents for each additional AUD 1 earned, so that no tax credit is available where income from working exceeds AUD 63 000 per year.

- From 1 July 2008, the Education Tax Refund is available to eligible families and independent students to help meet the cost of primary and secondary school education. The maximum refund available is 50 per cent of eligible school education expenses up to AUD 750 for each eligible child in primary school (a refund of up to AUD 375) and up to AUD 1 500 for each eligible child in secondary school (a refund of up to AUD 750). The calculations assume dependents are of primary school age and are eligible for the maximum refund.

10.1.1.1 Standard allowances

10.1.1.2 Standard tax credits

10.1.2 *Income tax schedule (central government income tax)*

General rates of tax - resident individuals

Taxable income per year (AUD)		Tax at general rates on yearly total taxable income
Not less than	Not more than	
0	6 000	NIL
6 001	34 000	NIL + 15c for each AUD in excess of AUD 6 000 per year
34 001	80 000	AUD 4 200 per year + 30c for each AUD in excess of AUD 34 000 per year
80 001	180 000	AUD 18 0 per year + 40c for each AUD in excess of AUD 80 000 per year
180 001 and over		AUD 58 000per year + 45c for each AUD in excess of AUD 180 000 per year

To contribute towards the cost of basic medical and hospital care, a Medicare levy is imposed on the taxable incomes of resident taxpayers. The levy applies at the rate of 1.5 per cent of the taxable income of an individual. Certain thresholds are applied before the levy is imposed. An individual taxpayer only pays the levy where their taxable income exceeds AUD 17 794 per year. A taxpayer in a couple or sole parent family only pays the levy if the taxable family income exceeds AUD 30 025 per year. The threshold is increased by AUD 2 757 per year for each dependent child. Where an individual's taxable income exceeds AUD 17 794, or a family's income exceeds AUD 30 025 (plus AUD 2 757 for each dependent child), the levy shades in at a rate of 10 per cent of the excess of taxable income over the threshold, until the levy is equal to 1.5 per cent of the family's taxable income. For 2008-09, individual pensioners under Age Pension age do not pay the levy where their taxable income does not exceed AUD 25 299. Where taxable income exceeds AUD 25 299 but does not exceed AUD 29 763 shading in provisions apply under which the levy payable is 10 per cent of the excess of taxable income over AUD 25 299.

A Medicare levy surcharge equal to 1 per cent of the taxpayer's taxable income and reportable fringe benefits may also be paid by high income taxpayers without adequate private patient hospital insurance. A single taxpayer with combined taxable income and reportable fringe benefits exceeding AUD 73 000 per year may be liable to pay the surcharge. A couple or sole parent family may be liable to pay the surcharge where their combined taxable income and reportable fringe benefits exceed AUD 146 000 per year. This family surcharge threshold is increased by AUD 1 500 per year for each dependant after the first. The effects of the Medicare levy surcharge are not shown in this publication. Most taxpayers who would

otherwise be liable to the surcharge have private patient hospital insurance as the cost of this insurance tends to be lower than the surcharge. Therefore the surcharge is not typically imposed.

10.1.3 State and local income taxes

In Australia, no states or territories levy a tax based on a resident's income.

10.2 Treatment of family income

10.3 Social security contributions and payroll taxes

All workers aged between 18 and 70 who earn more than \$450 in a calendar month have contributions made to their superannuation fund. Employers must contribute at least 9% of the worker's earnings, on top of the worker's regular pay. This money is placed into a superannuation fund which can be accessed on retirement or in cases of significant financial distress. These contributions are not reflected in the 'Tax-Benefits' calculations because they are not a form of taxation (they are not an unrequited transfer to general government). There is also a Medicare levy which is based upon taxable income (see Section 10.1.2).

Part of Australia's retirement income system is the provision of compulsory employer contributions (the Superannuation Guarantee system). The Superannuation Guarantee requires employers to pay 9 per cent on top of employees' gross ordinary time earnings to an approved superannuation fund, provided they earn more than AUD 450 per month. However, they may choose to make contributions for workers earning less than this threshold. This threshold is not indexed. There is also a limit to the Guarantee. In each quarter any earnings beyond a threshold are not covered by the Superannuation Guarantee. This threshold is indexed to a measure of average earnings. In the 2008-09 tax year this threshold was AUD 38 180 per quarter.

10.3.3 Payroll taxes

Australian State Governments levy pay-roll taxes on wages, cash or in kind, provided by larger employers to their employees. The rates of pay-roll tax, thresholds and deductions differ across States. In New South Wales, the State with the largest population, the pay-roll tax rate is 6.00 per cent from 1 July 2008 to 31 December 2008 and 5.75 per cent from 1 January 2009 to 30 June 2009 for employers with total Australian wages in excess of AUD 623 000 in 2008-09. The employer is entitled to an exemption from tax, or a pro-rated pay-roll tax threshold, on wages paid in New South Wales up to a maximum of AUD 623 000. The exempt amount is reduced based on the proportion of the employer's New South Wales pay-roll to total Australian pay-roll.

Pay-roll tax revenue is not used to fund social security. It forms part of the consolidated revenue of State Governments, which do not deliver social security.

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10.4 *Treatment of particular group*

10.4.1 *Young persons*

There is no special tax treatment for young persons

10.4.2 *Older workers*

A mature age workers tax offset is available (see Section 10.1.1).

11. Part-time work

All income support recipients are able to engage in part-time work while receiving payment, subject to the operation of the relevant payment's income tests (see Sections 3.2.2, 4 and 9.2.2). While a person in full-time paid work is not eligible to receive unemployment payments, a person in full-time work is not excluded from all income support payments. For example, a part-rate of Parenting Payment (Single) may be paid to a single parent with one child if yearly income is below AUD 41 759 (AUD 1 606.10 per fortnight).

The Working Credit scheme can also help working-age income support recipients keep more of their payment when taking up work (see Section 3.2.2).

11.1 *Special benefit rules for part-time work*

There are no benefit rules relating to part-time work.

11.2 *Special tax and social security contribution rules for part-time work*

There are no special tax or social security contribution rules for part-time work.

12. Policy developments

12.1 *Policy changes introduced during 2009*

Jobs and Training Compact

The Jobs and Training Compact was announced in response to the deteriorating economic conditions brought about by the Global Recession. The Jobs and Training Compact involves separate compacts which aim to support young people, retrenched workers and local communities to get back to work and gain the skills required for future jobs. Within each Compact are a range of training, support and local initiatives aimed at reducing the impact of the economic downturn. These include:

- retrenched workers—initiatives to support workers who lose their jobs as a result of the economic downturn;
- young Australians— measures to keep people at school or in training and post-school education to lift qualifications and prevent them from becoming long-term unemployed; and
- local communities—initiatives to stimulate local economies and help support local jobs and training through community projects in regions hardest hit by the economic downturn

Retrenched Workers

Retrenched workers who lost their job as a result of the Global Recession, under the early access to employment services initiative, gained immediate access to Stream 2 services including a \$550 Employment Pathway Fund credit. Workers identified as having additional barriers to employment could be placed in Streams 3 or 4.

Compact with Retrenched Workers

The Council of Australian Governments agreed with Australian state and territory governments to deliver a Compact with Retrenched Workers on 2 July 2009. This Compact allows retrenched workers to access state and territory delivered government subsidised Vocational Education and Training qualifications. It is anticipated that the Compact with Retrenched Workers will provide up to 124,000 people, who have lost their jobs, with the opportunity to gain access to training to obtain a higher qualification. As part of the Compact:

- Job Services Australia providers will assist retrenched workers to identify their skills and training needs and will then work with States and Territories to implement the training entitlement;
- States and Territories will prioritise training places to support the Compact.

Compact with Young Australians

The Compact with Young Australians promotes young people's participation in education and training. The Compact is delivered under the National Partnership on Youth Attainment and Transitions, which includes a range of measures to strengthen the education, training opportunities and support for young people. The Compact with Young Australians has three elements to promote skills acquisition and ensure young people are learning or earning, these elements are:

- **A National Youth Participation Requirement** which requires all young people to participate in schooling (or an approved equivalent) to Year 10, and then participate full-time (at least 25 hours per week) in education, training or employment, or a combination of these activities, until age 17. The National Youth Participation Requirement is a minimum national requirement that the Australian states or territories can go beyond if they wish. As required, jurisdictions have amended legislation such that this element of the Compact with Young Australians has been in effect since 1 January 2010..

- **An Entitlement to an Education or Training Place** for 15 to 24 year olds which focuses on attaining Year 12 or equivalent qualifications so young people have the necessary qualifications required to get and keep a job and develop their careers. Entitlement places are for government-subsidised qualifications, subject to admission requirements and course availability. For 20 to 24 year olds who already have a Year 12 or equivalent qualification, the entitlement is to a place that would result in them attaining a higher qualification than they currently hold.
- **Strengthened Participation Requirements for Some Types of Income Support:** the focus on learning or earning also applies to those under the age of 21 who seek income support through Youth Allowance (Other) or the Family Tax Benefit (Part A): if they do not have a Year 12 or equivalent qualification, these young people need to participate in education and training full-time, or participate in part-time study or training in combination with other approved activities, usually for at least 25 hours per week, until they attain Year 12 or an equivalent Certificate Level II qualification. Examples of the types of activities that could be approved, in combination with part time study or training, include part time paid work, voluntary work or a youth transitions program. Flexible arrangements and exemptions apply to those who cannot participate in this way.

Training Supplement

A temporary Training Supplement of \$41.60 per fortnight (temporary) was introduced 1 July 2009 to provide additional support job seekers at risk of becoming long-term unemployed during the global recession and to ensure that they are properly skilled as the economy recovers. The supplement is eligible NSA and PP recipients without Year 12 or equivalent, or who hold a trade or vocational qualification which can be upgraded who fully met their participation requirements through approved study or training. It is available to job seekers for approved study or training commenced between the period 1 July 2009 and 30 June 2011.

Secure and Sustainable Pensions

The Secure and Sustainable Pension Reform package released in the 2009-10 Budget brought into effect from 20 September 2009:

- an increase in the maximum rate of most pensions by \$65.00 a fortnight for singles (up to \$615.80 per fortnight) and \$20.30 per fortnight combined for couples (up to \$464.20 each person per fortnight), on top of indexation.
- a Pension Supplement which combines the GST Supplement, Pharmaceutical Allowance, Utilities Allowance and internet rate of Telephone Allowance into the new Pension Supplement and an additional increase, which is paid fortnightly;
- new indexation arrangements for the base pension; and.
- changes to the taper to income above the free area of 50 cents in the dollar

These changes were not extended to Parenting Payment Single.

Changes to asset test hardship rules

From 1 July 2009, changes to the asset test hardship rules were introduced to make it easier for people to access income support payments. The assets test reflects community expectations that a recipient with substantial assets should draw upon their own resources to meet their living expenses prior to drawing upon the community's. However, circumstances may exist where a recipient with substantial assets can nevertheless be in financial hardship as a result of being unable to rearrange their financial affairs to provide themselves with an income through their assets. The threshold limits of readily available funds which a recipient is able to access before becoming ineligible for income support were increased from 1 July 2009. Indexation was also introduced for the readily available funds limits at the same rate as payments in order to maintain the real value of the threshold amounts.

Changes to jobseeker compliance

To support Job Services Australia (the new employment services system) a new job seeker compliance framework was introduced from 1 July 2009. A key element of the new framework is an increase in the level of discretion available to employment services providers in responding to job seekers who fail to meet their participation requirements. This means that providers are encouraged to adopt alternative strategies to re-engage job seekers without taking formal compliance action. The main legislated change under the new framework included the introduction of No Show, No Pay penalties, which result in loss of payment for each day a job seeker fails to participate in an activity or program without an acceptable reason. A job seeker who misses an appointment with their employment services provider is given an opportunity to attend a reconnection appointment and only loses payment if they fail to attend.

In addition, under the previous system, eight week penalties were imposed for a third or subsequent participation failure or for a serious failure and, once imposed, had to be served. The new framework retains eight week penalties for more serious failures (refusal of a job offer, voluntary unemployment or unemployment due to misconduct) and for persistent non-compliance but with two key differences:

- Firstly, there is no automatic escalation in the severity of the penalty following a third participation failure. Instead, persistently non-compliant job seekers are assessed to make sure they are getting the right assistance;
- Secondly, the balance of any non-payment penalty can be waived once the job seeker starts to participate in a Compliance Activity, which an intensive activity undertaken in addition to a job seeker's usual requirement to be actively seeking work.

In introducing the new framework, the Government undertook to establish an independent panel to review the new compliance framework after its first year of operation.

12.2 *Future policy changes announced in 2009*

More flexible participation requirements for parents will be introduced from 1 July 2010. Responding to the recommendations of the Participation Taskforce Review, the measure increases flexibility for parents in meeting their participation obligations and helps them to balance participation with family and community responsibilities. The participation flexibilities include:

- Allowing principal carer parents to meet participation requirements by combining part-time study, voluntary work (in some circumstances) and part-time work;
- Supporting principal carer parents wanting to start their own business to participate in self-employment programs on a part-time basis;
- Allowing parents who work during school term more flexible arrangements over the long school holidays, if they are temporarily not employed but are likely to resume employment once the school term re-commences; and,
- Improving access to exemptions from participation requirements, such as access to the existing Domestic Violence exemption to provide greater support for victims of domestic violence, extending existing exemptions for parents with large families, those who provide homeschooling, and those parents whose children undertake distance education and introducing a new participation exemption for kinship and foster carers.

Paid Parental Leave

On 12 May 2009, the Government announced that it would introduce Australia's first Paid Parental Leave Scheme, to commence from 1 January 2011. The government-funded scheme will provide the primary

Reference date for all information is **June 30th 2009**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

carer with 18 weeks post-natal leave, paid at the adult federal minimum wage. It is expected that the scheme will boost workforce participation and help Australian families find a better balance between work and caring responsibilities, It will also allow mothers to spend vital time with their newborn babies.

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ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.